



OFFICE OF THE INSPECTOR IN CHARGE
REBATE FRAUD TASK FORCE
Cincinnati, OH 45202-8749

January 30, 1997

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Dear Postal Customer:

This office is investigating a possible violation of Federal Law involving rebate activity with which you may be associated.

We sometimes find that individuals are unaware that they may be in violation of the Mail Fraud Statutes. Other times we find that individuals intentionally defraud businesses and serious consequences are the end result. Our main objective at this point, where a violation exists, is to see that the use of the mail is terminated. Continued activity could result in prosecutive action and the related criminal penalties.

Rebating schemes are illegal under the Mail Fraud Statute, Title 18 Section 1341 and under the False Representation Law, Title 39, Section 3005, United States Code.

Manufacturers offer rebates to individuals to induce the individuals to buy their products. These offers are limited to a certain number per household and are limited to the individual who actually purchased the product.

When an individual submits an application for a rebate, the individual is expressly or implicitly representing to the manufacturer that the individual has actually purchased the product (as opposed to an individual who has traded for the proof of purchase with another, or purchased the proof of purchase, or manufactured the proof of purchase or obtained it by some other means). The individual is also representing that he or she is complying with the terms of the rebate offer in respect to the number of rebates requested on this particular product. When an individual uses multiple addresses such as post office boxes or variations of the street address or multiple fictitious names, the individual is falsely representing to the manufacturer that each submitted rebate request is the only rebate requested for his or her household. The individual is also causing something of value, namely the rebate check, to be sent through the mail in furtherance of a scheme to defraud. Likewise, if an individual claims a rebate on a product that the individual did not personally purchase, the individual is also making a misrepresentation, unless a rebate form expressly states that no purchase of a product is necessary to obtain a rebate.

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Once an individual is put on notice that certain conduct is illegal, that individual could be shown to have the necessary criminal intent for prosecution should the individual continue to engage in that activity.

If after reviewing your activities in light of the applicable statutes, you feel you unknowingly became involved in rebating activity that may be a violation of the law and now wish to disassociate yourself from this activity, please advise us by filling out the enclosed form and returning it. If you choose to disassociate yourself from the activity, you should write "REFUSED" across the face of any mail received by you in connection with the activity, mark a line through your name and address, and return it to the post office for return to sender. However, should you wish to discuss any aspect of this matter please call 1-800-353-8177. If in your opinion you believe this Voluntary Discontinuance notice does not apply to you, please detail in writing your reasons and return them to this office in the enclosed envelope along with a telephone number where you can be reached during the day. Also, please include the control number which appears in the upper right hand portion of the notice. All information you provide will be investigated and verified. Our primary concern is to see fraudulent activity stopped to ensure the integrity of the U. S. Mail.


R. J. Bowdren
Postal Inspector in Charge

Enclosures

In the earlier referenced October 1987 *Atlantic Journal and Atlantic Constitution* article, John Smietanka, a US attorney for the Western district of Michigan referred to refunders as "a subculture with its own jargon, clubs, conventions, and magazines."